

Public Economics

Lecture 11 · State and Local Government Expenditure

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Today's Questions

- Which public goods should be provided *nationally*, and which are better left to states, regions, or municipalities?
- Can people “vote with their feet” by choosing where to live — and does that solve the preference-revelation problem that plagues national public-goods provision?
- Why do higher levels of government so often send money down to lower ones, and does that money get spent the way we'd expect?

Based on

Gruber, J. *Public Finance and Public Policy*, Ch. 10 (State and Local Government Expenditures).

10.1 Fiscal Federalism

10.2 The Tiebout Model

10.3 Redistribution and Fiscal Federalism

10.4 Intergovernmental Grants

10.1 Fiscal Federalism

Why Multiple Levels of Government?

Almost every country splits public provision across national, regional, and local governments. Two forces pull in opposite directions:

- **Centralization** lets government exploit **economies of scale** and internalize **spillovers** across jurisdictions (national defense benefits everyone; a local government has no incentive to pay for it alone).
- **Decentralization** lets provision match **local tastes**, which vary — a beach town and a mountain town may want very different mixes of public services.

The Decentralization Theorem

Oates's decentralization theorem (1972)

When preferences for a public good vary across localities, and there are no spillovers or scale economies, welfare is higher under **decentralized**, locally tailored provision than under a single uniform national level of provision.

Intuition: a single national quantity necessarily overshoots some areas' preferences and undershoots others'. Local governments can each choose the level their own residents actually want.

Optimal Fiscal Federalism: What Goes Where?

The efficient assignment of a public good to a level of government depends on two things: the **size of spillovers** across jurisdictions, and the **degree of taste heterogeneity**.

	Large spillovers / scale economies	Local tastes vary a lot
National defense	✓	
Environmental regulation	✓	
Local parks, trash collection		✓
Local zoning, policing style		✓

Goods with large spillovers or scale economies belong at the national level; goods with strong local taste variation and few spillovers belong at the local level. Most real public goods sit somewhere in between.

10.2 The Tiebout Model

Tiebout (1956): “Voting with Your Feet”

National elections force everyone to accept the *same* bundle of public goods and taxes — one vote cannot reveal how much any individual actually values it.

Tiebout’s insight

If there are **many local communities**, each offering a different bundle of local public goods and local taxes, people can simply **move** to the community that best matches their preferences.

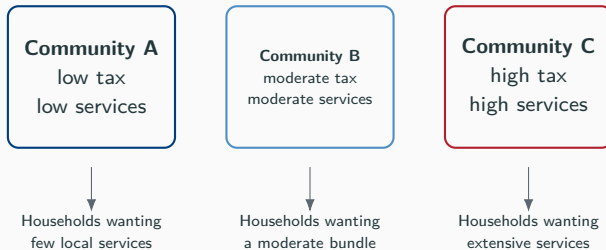
This “voting with your feet” behaves like a market: it reveals preferences (through location choice) in a way that a single national vote never can — potentially solving the preference-revelation problem central to public-goods theory.

The Tiebout Model: Assumptions

The result is elegant, but relies on strong assumptions:

1. Many communities exist, each already offering a distinct tax/service bundle.
2. Individuals are **perfectly mobile** and can move costlessly.
3. Full information about every community's taxes and services.
4. No spillovers between communities.
5. At least as many communities as there are distinct sets of tastes.
6. Communities can adjust to their **optimal size** (not too crowded, not too empty).
7. No economies of scale in providing local public goods.

Diagram: Sorting Across Communities



Each household self-selects into the community whose tax/service bundle matches its own preferences — mimicking, through residential choice, the preference revelation an ordinary market provides for private goods.

Evidence: Tax and Service Capitalization

If the Tiebout logic holds, a community's tax and service package should show up directly in **local property values**.

Capitalization

A locality's fiscal bundle (taxes net of the services they fund) becomes “capitalized” into the price of housing there — buyers pay more to live where public services are relatively good for the tax price charged.

Oates (1969) finds exactly this: holding housing characteristics constant, property values are higher where local school spending is higher, and lower where local property tax rates are higher — evidence that households really are shopping across communities on their fiscal terms, much as the Tiebout model predicts.

Source: Oates (1969), *JPE* 77(6).

Limits of the Tiebout Model

- **Mobility is not costless:** moving has large financial and social costs, so real sorting is far weaker than the frictionless model assumes.
- **Sorting can amplify inequality:** wealthier households cluster in communities with better services and use zoning restrictions to keep poorer households out — “exclusionary zoning.”
- **Spillovers are common in practice:** a neighboring municipality’s pollution, congestion, or crime doesn’t stop at the town line.

The Tiebout model is best read as a useful benchmark, not a literal description of how local government actually works.

10.3 Redistribution and Fiscal Federalism

The Problem with Local Redistribution

If Tiebout sorting works well for allocating *public goods*, it works badly for **redistribution**.

The race to the bottom

A generous local welfare program attracts low-income residents and repels high-income taxpayers who would have to fund it — eroding the local tax base and forcing benefits back down. Anticipating this, no locality wants to be the first mover, and redistribution ends up systematically **under-provided** at the local level.

This is a standard argument for financing redistributive programs at the **national**, not local, level — where the tax base can't simply relocate to a neighboring town.

Tax Competition Among Jurisdictions

The same mobility logic applies to **capital and corporate taxation**, not just welfare recipients.

- Firms and mobile capital can relocate toward jurisdictions offering lower tax rates.
- Jurisdictions competing for this mobile tax base face pressure to cut rates below what they would otherwise choose — a fiscal “race to the bottom” on the tax-collection side.

As with local redistribution, this is an argument for coordinating certain tax bases (especially highly mobile ones like corporate income) above the purely local level.

Fiscal Disparities Across Jurisdictions

Communities differ enormously in their underlying **tax base** — a wealthy suburb can fund excellent local schools at a low tax rate; a poor rural district cannot fund comparable schools even at a much higher rate.

- Left alone, Tiebout sorting reinforces this: the wealthy cluster together, the poor cluster together, and local service quality diverges further.
- This is the standard efficiency-*and*-equity case for **intergovernmental grants**: transfers from higher levels of government to lower ones, to offset unequal local tax capacity.

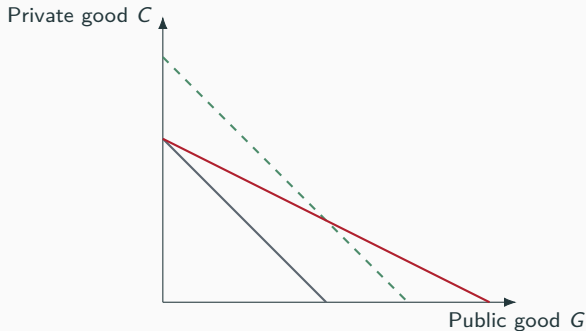
10.4 Intergovernmental Grants

Types of Grants: Categorical vs. Block

- **Categorical (matching) grant:** the higher government matches every dollar the local government spends on a specific service (e.g., \$1 in federal money for every \$2 in local road spending). This **lowers the effective price** of that service to the locality.
- **Block (non-matching) grant:** a fixed lump sum, with no strings attached to how it's spent (or only broad strings, e.g., “for education”). This acts like a pure **increase in local income**.

The distinction matters enormously for how local governments actually respond — a price effect versus an income effect.

Diagram: Matching Grants vs. Block Grants



Gray: original budget line.

Green: block grant — parallel shift, a pure income effect.

Red: matching grant — pivots from the same intercept, lowers the price of G .

A matching grant induces more spending on G per dollar of grant than an equal-sized block grant, since it changes a relative price, not just income.

The Flypaper Effect

Standard theory predicts that a \$1,000 lump-sum grant to a local government should raise local public spending by roughly the same small amount that a \$1,000 increase in *residents' own income* would — both are just income effects of the same size.

The flypaper effect

Empirically, this prediction fails badly: a grant paid directly to the local government raises local spending by far **more** than an equivalent rise in residents' private income does. “Money sticks where it hits.”

Leading explanations include imperfect information (residents don't realize the grant could instead be passed back as a tax cut), and the incentives of local bureaucrats and officials who directly control the grant funds and prefer to spend rather than rebate them.

Conclusion

- Fiscal federalism trades off the scale/spillover advantages of centralization against the taste-matching advantages of decentralization.
- The Tiebout model shows how residential mobility *can* solve the preference-revelation problem for local public goods — but only under demanding assumptions that rarely hold exactly.
- Redistribution and highly mobile tax bases are the clearest case *against* full decentralization — and intergovernmental grants are the standard tool for correcting the resulting fiscal disparities, even though how localities actually respond to grants (the flypaper effect) doesn't always match the textbook prediction.

Gruber, J., *Public Finance and Public Policy*, Ch. 10.

Oates, W. (1969), *JPE* 77(6).

Oates, W. (1972), *Fiscal Federalism*.

Tiebout, C. (1956), *JPE* 64(5).

Thank you!

Questions and discussion